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Illustration 15

Given below are the balances extracted from the books of Nagarajan as on 31st March, 2016.

Particulars	`	Particulars	`
Purchases	10,000	Sales	15,100
Wages	600	Commission received	1,900
Freight inwards	750	Rent received	600
Advertisement	500	Creditors	2,400
Carriage outwards	400	Capital	5,000
Cash	1,200		
Machinery	8,000		
Debtors	2,250		
Bills receivable	300		
Stock on 1st January, 2016	1,000		
	25,000		25,000

Prepare the trading and profit and loss account for the year ended 31st March, 2016 and the balance sheet as on that date after adjusting the following:

(a) Commission received in advance ` 400
(b) Advertisement paid in advance ` 150
(c) Wages outstanding ` 200
(d) Closing stock on 31st March 2016, ` 2,100

Solution

In the books of Nagarajan

Dr. Trading and Profit and Loss Account for the year ended 31st March, 2016 Cr.

Particulars	`	`	Particulars	`	`
To Opening stock		1,000	By Sales		15,100
To Purchases		10,000	By Closing stock		2,100
To Wages	600				
Add: Outstanding	200	800			
To Freight inwards		750			
To Gross profit c/d		**4,650**			
		17,200			17,200
To Advertisement	500		By Gross profit b/d		4,650
Less: Prepaid	150	350	By Commission received	1,900	
advertisement		400	Less: Received in	400	1,500
To Carriage outwards			advance		600
To Net profit (transferred to capital a/c)		**6,000**	By Rent received		
		6,750			6,750